

FOREWORD

TO THE 1993 EDITION

It is now three years since I did the main work on this small book. As I told in the Foreword to the earlier edition, it concerns matters that have interested me for a third of a century and more. I first dealt with them in *The Great Crash, 1929*, published a little after the twenty-fifth anniversary of the 1929 debacle. That book has been continuously available ever since. Whenever it was about to pass out of print, some new speculative episode or disaster would bring it back to public attention. Over a lifetime I have been, in a modest way, a steady beneficiary of the speculative aberration in its association with more than occasional insanity. Only a stalwart character keeps me from welcoming these events as proof of personal prescience and as a source of small financial reward.

In the first Foreword to this volume, I told of my hope that business executives, the inhabitants of the financial world and the citizens of speculative mood, tendency or temptation might be reminded of the way that not only fools but quite a lot of other people are recurrently separated from their money in the moment of speculative euphoria. I am less certain than when I then wrote of the social and personal value of such a warning. Recurrent speculative insanity and the associated financial deprivation and larger devastation are, I am persuaded, inherent in the system. Perhaps it is better that this be recognized and accepted.

In the years since I wrote this short disquisition, the main players in the most recent speculative episode, that of the extravagant eighties, have met their all but inevitable fate, and the larger economic consequences